goods and services is called **net import**. Excess import over export is the amount of consumption expenditure that goes to GDP of the other countries. Hence it is deducted from our GDP.

V. Discrepancies

The GDP calculated by gross value added method and expenditure method differ as the difference in value recorded for a product between when it is produced and the moment it is consumed are considerable. There may be loss or gain in the value or quantity during storage and transport of products. It leads to the difference in estimate by these two methods. This difference is treated as discrepancies.

Gross Capital Formation - Estimation

Gross Capital Formation (GCF) is estimated by two approaches. They are:

A. Funds flow approach
B. Commodity flow approach

In commodity flow approach, the investments made in different types of assets forming part of GCF are measured either industry-wise or institutional sector-wise. The investment in these assets comes from financial savings. So adding the gross savings of domestic institutional sectors and fund flow from ROW will be equal to the investments made in different types of assets. So GCF is calculated by adding gross savings of domestic institutional sectors and fund flow from ROW. This later method is called funds flow approach.

A. Funds Flow Approach

As said earlier the investment has to come from financial savings. Hence in the fund flow method the GCF is derived as gross savings plus net capital inflow from abroad.